

TENTATIVE RULING FOR August 21, 2026

Department S22 — JUDGE JANET FRANGIE

(Sitting on Assignment)

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If you (or both parties) wish to submit on the Tentative, notify the other party and call the department by 4:00 pm the day before and your appearance may be excused unless the Court orders you to appear.

You must appear at the hearing if you are so directed by the court in the tentative ruling. Be prepared to address those issues set forth by the court in its ruling.

UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.

CIVSB2436917

MICHAEL HERNANDEZ v. GENERAL MOTORS, LLC

TENTATIVE RULING

1. Procedural Objection:

Objection to Plaintiff's Untimely Opposition:

The objection is overruled. The objection was waived by Defendant's filing of a Reply on the merits. (See *Clark v. Stabond Corp.* (1987) 197 Cal.App.3d 50, 59 (*Clark*) [concluding lack of timely service is waived when the party discusses merits despite its objection]).

2. Defendant's Demurrer to First Amended Complaint (FAC):

The demurrers to the Fifth Cause of Action for Fraudulent Inducement-Concealment are overruled.

General Motors, LLC (GM) argues that Plaintiff's FAC should be dismissed because Plaintiff did not timely file the FAC within the 20-day leave to amend deadline set by the Court following the earlier demurrer/motion to strike proceedings.

Furthermore, GM argues that the Court should sustain GM's demurrer to Plaintiff's Fifth Cause of Action for Fraudulent Inducement-Concealment because it is time-barred under Code of Civil Procedure section 338, subdivision (d) and does not state sufficient facts to constitute a cause of action.

A. Whether the FAC was Timely Filed?

Under California Rules of Court, rule 3.1320(g), if the court sustains a demurrer, leave to amend within 10 days is deemed granted, unless the court orders otherwise. The time within which to amend runs not from the date of actual ruling, but from the date of service of notice of the court's decision or order unless such notice is waived in open court and entered in the minutes of the court. (Code Civ. Proc. § 472b.)

Here, the Court's earlier ruling on GM's demurrer and motion to strike, directed to Plaintiff's Original Complaint, provided Plaintiff with a total of 20-days' leave to amend. The Court's Ruling was filed on January 30, 2026, and was subsequently electronically served by the Clerk of the Court on February 2, 2026. As such, Plaintiff's deadline to file the FAC would have run by February 24, 2026. However, Plaintiff did not timely file the FAC until March 16, 2026, which is 20 days after the deadline.

In general, after expiration of the time in which a pleading can be amended as a matter of course, or after expiration of the time allowed by the court after demurrer sustained with leave to amend, a noticed motion must be made for permission to file the pleading. (*Leader v. Health Industries of America, Inc.* (2001) 89 Cal.App.4th 603, 612-613.) Any subsequently filed late pleading is subject to a motion to strike, either by defendants or on the court's own motion. (*Id.* at p. 613.) However, under Code of Civil Procedure section 473, subdivision (a)(1), the court has discretion to accept untimely amendment even without a noticed motion made by a plaintiff. (*Harlan v. Department of Transportation* (2005) 132 Cal.App.4th 868, 874.) In the Court's discretion, and due to the judicial policy of favoring liberal amendment and a lack of prejudice demonstrated on the part of GM, the Court accepts the FAC despite the fact that it was untimely filed

B. Whether the Fraudulent Inducement Concealment Claim is Time-Barred:

In general, a cause of action sounding in fraud is subject to a three-year statute of limitations pursuant to Code of Civil Procedure section 338, subdivision (d). It does not accrue until the aggrieved party discovers the facts that constitute the fraud. (Code of Civ. Proc., §

338, subd. (d); *Hogar Dulce Hogar v. Community Development Commission* (2003) 110 Cal.App.4th 1288, 1295.) In other words, the statute of limitations does not begin to run until a plaintiff has information that would put a reasonable person on inquiry, which is known as inquiry notice, not necessarily the specific facts necessary to establish the fraud. (*Kline v. Turner* (2001) 87 Cal.App.4th 1369, 1374.)

GM contends that Plaintiff's fraud claim expired three years from the date Plaintiff entered into the warranty contract, i.e., on October 24, 2020. (See FAC ¶ 6.) However, this argument is founded on a presumption that Plaintiff discovered facts constituting the fraud on the very same day Plaintiff entered into the warranty contract. The FAC alleges that Plaintiff did not discover the fraud until shortly before the filing of the Action, because the Vehicle continued to exhibit symptoms of defects following unsuccessful repair attempts by GM. (FAC ¶ 25.)

However, the FAC does not show on its face that the cause of action for fraud is time-barred. As discussed above, the statute of limitations does not begin to run until Plaintiff learns of the concealment. (Code Civ. Proc., § 338, subd. (d); *E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1322-1323.)

C. Whether the Fraudulent Inducement Concealment Claim is Sufficiently Plead?

GM argues that Plaintiff's fraudulent concealment is insufficiently plead because (i) Plaintiff fails to allege with particularity what particular defect GM specifically concealed from Plaintiff; (ii) Plaintiff fails to allege sufficient facts to establish a duty to disclose; and (iii) Plaintiff fails to allege sufficient facts to establish justifiable reliance.

(1) *Concealment of a Defect*

Here, Plaintiff alleges that GM allowed the Vehicle to be sold to Plaintiff without disclosing that the 8-speed transmission installed in the Vehicle was defective and suffers from one or more defects that can result in hard or harsh shifts, jerking, lurching, hesitation on acceleration, surging and/or inability to control the vehicle's speed, acceleration, or deceleration ("Transmission Defect"). These conditions present a safety hazard and are unreasonably dangerous because they can suddenly and unexpectedly cause the driver to be unable to control the speed and acceleration/deceleration of the vehicle, thereby exposing Plaintiff and passengers (along with other drivers who share the road or garage with Plaintiff) to a serious risk of accident and injury. (FAC ¶¶ 47-49.)

Plaintiff further alleges that before Plaintiff acquired the Vehicle, GM knew, or should have known about the Transmission Defect but failed to disclose this fact to Plaintiff before, at the time of sale of the Vehicle, and any time thereafter. Plaintiff that GM acquired exclusive

knowledge of the Transmission Defect through pre-production and post-production testing data; early consumer complaints about the Transmission Defect made directly to GM and its network of dealers; aggregate warranty data compiled from GM's network of dealers; testing conducted by GM in response to these complaints; as well as warranty repair and part replacements data received by GM from GM's network of dealers, amongst other sources of internal information. Furthermore, before Plaintiff purchased the Vehicle, GM had been internally referring to the 8-speed transmission as a "neck snapper" and GM engineers even considered stopping production of the 8-speed transmission in 2015, but did not, and in 2016, GM President, Johan de Nysschen, acknowledged customer frustration surrounding the Transmission Defect internally and meeting with its authorized repair facility. Additionally, a representative of GM, Mark Gordon, lamented in February 2019 that "shift quality issues are an ongoing concern with the 8-Speed transmission. Unfortunately, these issues have been through an Op-ex and a service solution is not going to be developed due to cost." Finally, Plaintiff alleges that from September 2014 to at least February 2019, GM issued many service bulletins and service bulletin updates to its dealers in the United States, but not its customers, acknowledging problems of harsh shifting, jerking, clunking, and delays in acceleration or deceleration relating to the 8-speed transmission. (FAC ¶¶ 50-54, 57-58.)

Despite this, GM and its agents have actively concealed the Transmission Defect and failed to disclose this defect to Plaintiff at the time of purchase of the Vehicle or thereafter. Further, despite GM's knowledge of the Transmission Defect, it continued to represent in its marketing materials that its new 8-speed automatic transmissions as having "world-class performance" rivaling top performance vehicles, lightning-fast and smooth shifting, along with improved fuel efficiency, among other representations. For example, GM's own press release dated January 13, 2014, introduced the new 8-speed transmission as being "tuned for world-class shift-response times," and "deliver[ing] shift performance that rivals the dual-clutch/semi-automatic transmissions found in many supercars – but with the smoothness and refinement that comes with a conventional automatic fitted with a torque converter." (FAC ¶¶ 51, 55-56, 59.)

Given the above, Plaintiff has sufficiently alleged that GM concealed the Transmission Defect. Although GM takes issue with Plaintiff's failure to identify the exact marketing materials that Plaintiff alleges that GM could have disclosed the alleged defects, how long Plaintiff reviewed them and relied on those materials in purchasing the Vehicle, and the identify of person(s) who prepared those materials, those details are unnecessary at the pleading stage. In order to survive a demurrer, the complaint need only allege facts sufficient

to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged. (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872.)

Here, the general identification of the Transmission Defect and the description of the problems allegedly caused by the defect are sufficient to provide fair notice and allow GM to mount a defense. Further in *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 844 (*Dhital*), the Court held that a fraudulent concealment claim was sufficiently pleaded when "plaintiffs alleged the CVT transmissions were defective in that they caused such problems as hesitation, shaking, jerking, and failure to function. The [complaint] also alleged Nissan was aware of the defects as a result of premarket testing and consumer complaints that were made both to the National Highway Traffic Safety Administration and to Nissan and its dealers."

Plaintiff's allegations are similar to those as alleged in *Dhital* and must be accepted as true at this stage of the proceedings. Therefore, the demurrer on this ground is overruled.

(2) *Duty to Disclose*

GM argues that no duty to disclose arose because Plaintiff has not alleged sufficient facts establishing a fiduciary or transactional relationship between Plaintiff and GM. For example, GM points out that Plaintiff does not allege that he directly purchased the Vehicle from GM.

Our Supreme Court has described the necessary relationship giving rise to a duty to disclose as a "transaction" between the plaintiff and defendant:

In transactions which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff.

(*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311 (*Bigler-Engler*), citing *Warner Constr. Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294.)

Plaintiff cites to *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 844 (*Dhital*) in which the Court of Appeal held that allegations concerning the existence of an express warranty issued in connection with the purchase of a vehicle were sufficient to establish a transactional relationship at the pleading stage, stating that:

At the pleading stage (and in the absence of a more developed argument by Nissan on this point), we conclude plaintiffs' allegations are sufficient. Plaintiffs

alleged that they bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan's authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers. In light of these allegations, we decline to hold plaintiffs' claim is barred on the ground there was no relationship requiring Nissan to disclose known defects."

(*Dhital, supra*, 84 Cal.App.5th at p. 844.)

On reply, GM argues Plaintiff's reliance in the holding in *Dhital* is overstated. Specifically, GM argues that the holding in *Dhital* did not address the question of whether the direct transactional relationship requirement is met where Plaintiff bought his vehicle from an intermediary dealership and not from the manufacturer. GM cites *Bigler-Engler, supra*, 7 Cal.App.5th at p. 311-312 for the proposition that there is no duty to disclose where no transactional relationship existed between parties.

While not cited by the parties, in *Scherer v. FCA US* (S.D. Cal. 2021) 565 F.Supp.3d 1184, the District Court considered a similar argument that *Bigler-Engler* prohibited a claim of fraud between the parties. In finding a duty to disclose, the federal district court stated:

In *Bigler-Engler*, no seller and buyer or contractual relationship existed between the plaintiff and manufacturing defendant. *Id.* at 314. There, the manufacturing defendant sold medical devices to the doctor defendant several years before the plaintiff rented one of the manufacture's devices from the doctor's office. *Id.* Therefore, the manufacturing defendant had no contact with the plaintiff, did not know plaintiff was a potential user of their products or used the device, and did not derive any direct monetary benefit from the plaintiff's rental of the device. *Id.* Conversely, here, the Plaintiffs do present a contractual relationship with Defendant, because they entered into a warranty agreement. Accordingly, this contractual relationship or transaction gives rise to a duty to disclose.

(*Scherer v. FCA US* (S.D. Cal. 2021) 565 F. Supp. 3d 1184, 1194.)

Plaintiff has also alleged sufficient facts to demonstrate that GM had exclusive knowledge or that GM actively concealed the Transmission Defect.

Here, Plaintiff alleges that GM acquired exclusive knowledge of the Transmission Defect through non-public, internal sources not available to consumers such as through pre-production and post-production testing data; early consumer complaints about the Transmission Defect made directly to GM and its network of dealers; aggregate warranty data compiled from GM's network of dealers; testing conducted by GM in response to these complaints; as well as warranty repair and part replacements data received by GM from GM's network of dealers, etc. (FAC ¶¶ 50, 58.)

In regard to active concealment, Plaintiff alleges that prior to Plaintiff's acquisition of the Vehicle, GM was well aware that the 8-speed transmission installed on the Vehicle was

defective but failed to disclose this fact to Plaintiff before or at the time of sale of the Vehicle. Plaintiff also alleges that GM concealed the defective nature of the Vehicle before or at the time of sale of the Vehicle. (FAC ¶¶ 48, 52, 55-56, 59-60.)

All of these allegations are sufficient to establish exclusive knowledge and active procurement at the pleading stage, the demurrer on this ground is overruled.

(3) Justifiable Reliance

GM argues that Plaintiff's reliance allegations are too general and are conclusory, which is insufficient to support a fraud claim under the heightened pleading standard.

In the FAC Plaintiff alleges that the Transmission Defect was not known or reasonably discoverable by the Plaintiff before purchase and Plaintiff did not know about the defect until Plaintiff made a reasonable number of repair attempts. Plaintiff also alleges that he is a consumer who relied on GM's advertisements, and/or other marketing materials concerning GM vehicles before purchasing the Vehicle. Further, Plaintiff alleges that he is a consumer who expected and assumed GM would not sell vehicles with known material defects, and that he did not expect that the Vehicle's transmission would not work properly. As a result of GM's inaction and silence, Plaintiff was entirely unaware that he purchased an unsafe and unreliable vehicle. Plaintiff states that had the defects been disclosed at any time prior to the sale, Plaintiff would not have purchased the Vehicle because any reasonable person would consider the Transmission Defect important and would not purchase a vehicle equipped with the Transmission Defect were the defect disclosed in advance. (FAC ¶¶ 51, 55-56, 58, 60, 61.)

Plaintiff's allegations are sufficient to allege actual and justifiable reliance. (See *Dhital, supra*, 84 Cal.App.5th 828, 844.) As such, GM's argument that Plaintiff's reliance allegations are insufficiently plead is not demonstrated. The element of justifiable reliance is sufficiently pled at this stage.

(4) Causation/Damages

GM also argues that Plaintiff has not alleged sufficient facts to demonstrate damages and causation. It argues that Plaintiff's blanket assertion that he suffered damages because he would not have purchased the vehicle but for GM's allegedly fraudulent omissions is insufficient.

GM cites *Nelson v. Nissan North America, Inc.* (D.N.J. 2012) 894 F.Supp.2d 558 (*Nelson*) and *Ehrlich v. BMW of North America, LLC* (C.D. Cal. 2010) 801 F.Supp.2d 908 (*Ehrlich*), for the proposition that additional facts are necessary.

In *Nelson*, the plaintiff in that action alleged the mileage of his vehicle when he purchased it, the mileage of the vehicle and date when he first began to experience transmission-related concerns, the mileage of the vehicle and date when the vehicle suffered catastrophic transmission failure, and the resulting out-of-pocket costs he had when Nissan stated that the transmission failure was not covered under warranty. (*Nelson*, *supra*, 894 F.Supp.2d at p. 562.)

GM argues that similar to *Nelson*, the plaintiff in *Erlich* also provided detailed damage allegations regarding the mileage of the vehicle at the time it experienced defects and alleged that BMW's active concealment of the alleged defects "forc[ed] [p]laintiff and the class to pay for repair and replacement of cracked windshields." (*Ehrlich*, *supra*, 801 F.Supp.2d at p. 912.)

However, *Nelson* was filed in the United States District Court for the District of New Jersey. While the plaintiff in *Nelson* also asserted claims under California law, those issues were limited to Consumer Legal Remedies Act ("CLRA") claims and Unfair Competition Law ("UCL") claims. (See *Nelson*, *supra*, 894 F.Supp.2d at pp. 569-570.) Accordingly, the holding in *Nelson* is not instructive.

In regard to *Erlich*, the plaintiff in that action did not allege a claim for fraudulent concealment. (See *Ehrlich*, *supra*, 801 F.Supp.2d at p. 914 [Plaintiff has alleged four causes of action under California law: (1) violation of California's Consumer Legal Remedies Act ("CLRA"), Cal. Civ.Code § 1750 et seq.; (2) violation of California's Unfair Competition Law ("UCL"), Cal. Bus. & Prof.Code § 17200, based upon a violation of California's Secret Warranty Law, Cal. Civ.Code § 1795.90 et seq.; (3) violation of the UCL for acts other than violating the Secret Warranty Law; and (4) breach of implied warranty under the Song-Beverly Consumer Warranty Act, Cal. Civ.Code §§ 1792 and 1791.1 et seq.].)

As such, neither *Nelson* nor *Erlich* support the proposition that additional details regarding identifying the mileage of the Vehicle at each stage the defective condition is necessary to state a claim for fraudulent concealment. Here, Plaintiff's allegation that he would not have purchased the Vehicle had Plaintiff known the true facts about the Transmission Defect and that he suffered damages in a sum to be proven at trial in an amount that is not less than \$35,001.00 is sufficient. (FAC ¶¶ 22, 62.)

3. Motion to Strike:

The Motion to Strike is denied.

A. Untimely FAC:

GM repeats its argument from the demurrer that the FAC should be stricken because Plaintiff did not timely file the FAC within the 20-day leave to amend deadline set by the Court following the earlier demurrer/motion to strike proceedings.

However, as discussed above in the demurrer, due to the judicial policy of favoring liberal amendment and a lack of prejudice demonstrated on the part of GM, this objection is overruled.

B. Punitive Damages:

In addition to actual damages, a party may obtain punitive damages where he or she proves by clear and convincing evidence the defendant has been guilty of “oppression, fraud, or malice.” (Civ. Code, § 3294, subd. (a).)

GM argues that in the event that the Court finds that Plaintiff’s Fifth Cause of Action for Fraudulent Inducement-Concealment is time-barred or fails for any reason, Plaintiff may not maintain a claim for punitive damages.

However, as discussed above, Plaintiff has sufficiently stated a cause of action for Fraudulent Inducement-Concealment. Therefore, Plaintiff’s request for punitive damages is proper.

4. Trial Setting Conference:

Defendant is directed to file and serve an answer on or before September 24, 2026.

The Trial Setting Conference is continued to November 18, 2026, at 8:30 a.m. in Department S22. Plaintiff is directed to give notice.